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**JUSTIFICATION & APPROVAL FOR FEDERAL ACQUISITION REGULATION
SUBPART 16.5 ACQUISITIONS
EXCEPTION TO FAIR OPPORTUNITY**

Multiple Award Contract
Orders under Fair Opportunity
Federal Acquisition Regulation (FAR) 16.505(b), Defense FAR Supplement 216.505(b),
Procedures, Guidance, and Information 216.505(b)

Military Interdepartmental Purchase Request Number: F2DCAC5049G003
Joint Warfighting Cloud Capability (JWCC) Contract Number: HC105023D0003
Task Order (TO) Number: To be determined
Procurement Title: Combat Survivor Evader Locator (CSEL) Next Generation Survival Radio
Recapitalization (NGSR) Production and Development (Prod/Dev)
Estimated Value: [REDACTED]
Statutory and Regulatory Authority: 10 United States Code (U.S.C.) 3204(a) and FAR
16.505(b)(2)(i)(B)

EXCEPTION TO FAIR OPPORTUNITY

Number: JA25-038

Upon the basis of the following justification, I, as the Procuring Activity Competition Advocate (PACA), hereby approve this exception to fair opportunity pursuant to the Statutory Authority of 10 U.S.C. 3204(a) and Regulatory Authority of FAR 16.505(b)(2)(i)(B).

1. REQUESTING AGENCY AND CONTRACTING OFFICE:

Requesting Agency:

United States (U.S.) Air Force (AF)/AF Life Cycle Management Center
(AFLCMC)/Digital Directorate - Aerospace Dominance Enabler (HBDZZ)
6049 Wardleigh Rd, 1205
Hill Air Force Base (AFB), UT 84056

Contracting Activity:

Defense Information Systems Agency (DISA)/Defense Information Technology
Contracting Organization (DITCO)/PS8511
2300 East Drive
Scott AFB, IL 62225-5406

2. NATURE/DESCRIPTION OF ACTION(S):

This action is to issue a firm-fixed-price TO against the JWCC Indefinite Delivery/Indefinite Quantity Contract for CSEL NGSR Prod/Dev. This TO will be issued directly to Microsoft Corporation. The anticipated period of performance (PoP) is for a 1-year base period, plus two 1-

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year option periods and one 9-month option period. The total estimated value is [REDACTED] which will be funded by Research, Development, Test, & Evaluation funds.

3. DESCRIPTION OF SUPPLIES/SERVICES:

This requirement is for the continued effort to build a cloud native Platform as a Service (PaaS) in an Impact Level (IL) 4 and IL6 environment across dual geographically separated areas to support the CSEL NGSR at a 99.99% availability.

4. SUPPORTING RATIONALE, INCLUDING A DEMONSTRATION THAT THE PROPOSED CONTRACTOR'S UNIQUE QUALIFICATIONS OR THE NATURE OF THE ACQUISITION REQUIRES USE OF AN EXCEPTION TO FAIR OPPORTUNITY:

(a) Exception to Fair Opportunity.

FAR 16.505(b)(2)(i)(B) - Only one awardee is capable of providing the supplies or services required at the level of quality required because the supplies or services ordered are unique or highly specialized.

(b) Description of the Justification.

The program Operational Requirement(s) Document (ORD) necessitates a cloud service provider (CSP) that operates geographically separated Data Centers to ensure a highly available infrastructure, capable of delivering 99.99% uptime. This requirement is driven by the need to support a PaaS with a cloud-native solution, which demands a robust and resilient architecture to minimize downtime and ensure seamless service delivery. This critical requirement is currently in the development phase of the program and is required to reach initial operational capability (IOC) no later than third quarter in fiscal year 2028. In order to reach IOC, the cloud PaaS component is required to receive authority to operate no later than April 2026 and the fielding phase must be completed by April 2027. As this process requires five years in development to reach IOC, the PoP is required to ensure successful completion to IOC. The program will be moving out of deployment phase into sustainment and will be able to reassess capabilities of CSPs. Overall, the use of Microsoft with geographically separated Data Centers is essential to the program's ability to deliver a highly available and cloud-native PaaS solution and is a critical component of its overall infrastructure strategy.

(c) Justification.

(1) Minimum Government requirements.

The cloud service offerings must be sustained at their current level to provide uninterrupted support for Warfighter search and rescue missions and meet the ORD. This includes maintaining geographically separated Data Centers on the east and west coasts to ensure 99.99% system availability or better, as well as utilizing a PaaS system with cloud-native solutions to optimize performance and reliability in IL4 and IL6 environments. By providing these cloud service offerings, the program can ensure the availability and accessibility of mission critical support capabilities. Microsoft's unique

cloud offerings are instrumental in ensuring the success of the Warfighter search and rescue operations, while also maintaining the trust and confidence of its users.

(2) Proposed sole source contractor. Microsoft Corporation

(3) Discussion regarding the cause of the sole source situation.

After conducting a thorough review of the JWCC CSPs responses to the additional research completed by the program office, it was determined that only one CSP, Microsoft, meets all of the minimum mission requirements of the system. The other three CSPs do not have the required geographically separated IL6 data centers, or they do not have cloud native functionality support.

(4) Demonstration of unique source.

Microsoft's cloud services, geographically separated Data Centers, and cloud-native solutions make them the only CSP capable of delivering 99.99% system availability or better, which is essential to supporting the program's mission-critical operations. These features are essential to the Government's requirements due to the high availability and critical nature of the program to perform search and rescue. While Amazon Web Services (AWS) does have data centers for the IL6 environment, the data centers are not geographically separated. Oracle's cloud service is managed through a script-based approach rather than the required cloud-native PaaS solution, and Google Public Sector (GPS) did not respond to the request. Microsoft possesses the knowledge, skills, capabilities, certification, clearance, and experience required to continue the program without a break or degradation in support of the mission critical service for the Warfighter. Moreover, Microsoft provides a comprehensive solution that fully aligns with the program's operational needs, making Microsoft the only viable option to support the program's mission. The other three CSP's capabilities do not meet, nor can be modified to meet, the Government's requirements due to not having a second region with IL6 (Secured internet protocol router (SIPR)) environment or the required cloud-native PaaS.

(5) Procurement discussion.

This is a follow-on effort to the current CSEL NGSR JWCC TO. Based on outreach to the four CSPs in January 2025, the only CSP that can meet the minimum needs of the Government is Microsoft. In addition to the minimum requirements described above, the CSEL NGSR effort must be compatible with the existing CSEL NGSR architecture. The Government's current need for compatibility is driven by the fact that switching to another CSP in the middle of the cloud native PaaS buildout would result in unacceptable schedule delays of two years and additional cost to the Government of approximately [REDACTED] neither of which would benefit the Government in support of the Warfighter and its mission critical objectives.

(6) Impact.

Using another CSP would introduce significant risks to the program's success. Without a geographically separated environment, the required 99.99% high availability would be at an unacceptable level of risk, and would result in potential failure to support the warfighter as dictated in the program ORD. If SIPR data centers are not geographically dispersed, the ORD requirement for critical search and rescue functions would be deemed a mission failure. The cloud is a required part of the search and rescue system to support the warfighter. By not having high availability it puts the warfighter at risk and the entire search and rescue emergency system will not operate. The other three CSPs do not meet the ORD requirements, and their solutions would result in unacceptable delays and mission failure. Even if another CSP were capable, they would not meet the compatibility requirements as they are unable to seamlessly integrate into the existing CSEL NGSR architecture. Failure to award this support to Microsoft will result in a detriment to this program as the Government would be unable to meet the program's critical deadlines and requirements.

5. COST/PRICE FAIR AND REASONABLE DETERMINATION:

A determination that the price is fair and reasonable will be based on a comparison of the contractor's proposal to the Independent Government Cost Estimate and the JWCC Catalog pricing, including any discounts, which was previously found to be fair and reasonable and based on the contractor's commercial pricing.

6. MARKET RESEARCH:

Market research for the basic JWCC Contracts was conducted and resulted in a signed market research report on November 9, 2021, that was revalidated and recertified on July 29, 2024. After a survey of the market, it was concluded that use of the JWCC Contract is in the Government's best interest due to technical feasibility and cost to the Government.

Additional research was conducted in January 2025, by reviewing the specific capabilities in the JWCC Contracts and it was determined that Microsoft Corporation is the only CSP capable of fulfilling the Government's minimum needs in the manner and time frame required. AFLCMC/HBDZZ requested information as part of its market research from all four JWCC CSPs. Specifically, the *Additional Research to Support Exception to Fair Opportunity* was provided and responses were received from AWS, Oracle, and Microsoft, while GPS did not provide a response. The responses from AWS, Oracle, and Microsoft were reviewed against the ORD requirements. AWS does not have geographically separated SIPR data centers, Oracle does not possess cloud native PaaS capabilities, and GPS did not respond to the request. The responses from AWS and Oracle did not support that they could meet the minimum requirements of the CSEL NGSR Prod/Dev program which would result in significant delays to reach IOC and failure to support critical Warfighter search and rescue missions.

7. ANY OTHER SUPPORTING FACTS: None.

8. ACTIONS THE AGENCY MAY TAKE TO REMOVE OR OVERCOME BARRIERS THAT LED TO THE EXCEPTION TO FAIR OPPORTUNITY:

(a) Procurement History:

- (1) Incumbent Contractor: Microsoft Corporation
- (2) Contract Number: HC105023D0003
- (3) TO Number: HC105024F0013
- (4) PoP: April 2, 2024 - April 1, 2025
- (5) Competitive Status: Exception to Fair Opportunity
- (6) Business Size: Large business

- (b) To support HC105023D0003/HC105024F0013, a justification and approval (J&A) for an exception to fair opportunity was signed on February 28, 2024, by a JWCC Contracting Officer. In accordance with DFARS PGI 216.505(b)(2), the previous justification was reviewed to determine if actions identified to remove or overcome any barriers that led to the exception to fair opportunity were completed. The previous J&A was based on the requirement for a cloud native IL6 SIPR capable environment with dual geographically separated data centers as dictated by the program ORD with operational availability capable of 99.99%. To overcome future barriers to competition, the Government considered the future development and enhancement of PaaS components which would include shifting to a containerized platform in order to enable the flexibility to shift workload based on financial and mission critical requirements. However, this would require the Government to build the infrastructure rather than leveraging existing capabilities and the estimated cost of [REDACTED] has been determined to be excessive and an unviable option. An additional exception to fair opportunity is required because no other CSP is capable of meeting the minimum ORD requirements for this search and rescue system as currently developed, has the necessary geographically located data centers, or possesses the required cloud native PaaS.

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JA25-038 CSEL NGSР Prod/Dev

TECHNICAL CERTIFICATION: I certify that the supporting data under my cognizance which are included in the J&A are accurate and complete to the best of my knowledge and belief.

NAME: Mr. Joseph J Mason

SIGNATURE: [REDACTED]

TITLE/AGENCY: Cyber Operations (COS) Information Technology (IT) Program Manager (PM), U.S. Air Force (USAF)

PHONE: [REDACTED]

DATE: 3/6/25

REQUIREMENTS CERTIFICATION: I certify that the supporting data under my cognizance which are included in the J&A are accurate and complete to the best of my knowledge and belief.

NAME: Jesse A DuMars

SIGNATURE: [REDACTED]

TITLE/AGENCY: COS IT PM, USAF

PHONE: [REDACTED]

DATE: 3/6/25

CONTRACTING OFFICER CERTIFICATION: I certify that this justification is accurate and complete to the best of my knowledge and belief.

NAME: Lara Chiaurro

SIGNATURE [REDACTED]

TITLE/AGENCY/ORGANIZATION: Contracting Officer, DISA/DITCO/PS8511

PHONE: [REDACTED]

DATE:

PROCURING ACTIVITY COMPETITION ADVOCATE APPROVAL: I have reviewed this justification and find it to be accurate and complete to the best of my knowledge and belief. Since this justification does not exceed \$15M, this review serves as approval and my written determination that the aforementioned FAR circumstances apply.

NAME: Gay Arnold

SIGNATURE: [REDACTED]

TITLE/AGENCY/ORGANIZATION: PACA/DISA

PHONE: [REDACTED]

DATE:

ALL QUESTIONS REGARDING THIS JUSTIFICATION ARE TO BE REFERRED TO Lara Chiaurro, [REDACTED]

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